Change Management

-NILAM SANGROULA

Change Management

- Change management is the process of helping employees or other stakeholders understand and adopt an organizational change.
- The change can be enterprise-wide, such as an acquisition by another company or a change in the company's name and branding, or the change may be limited to a single business unit or department.
- Organizations are often confronted with the need to implement changes to existing processes. This need is often connected with transformation that takes place in public management and the implementation of information systems (IS).
- Information systems and implementation of various kinds of changes related with IS adoption have become a challenge for organizations.
- Organizations' efforts relate to a successful IS and CM implementation, experiencing various conditions and are connected with a substantial risk of failure.

- Therefore, change management is the planned and structured implementation of transitional goals in an organization and company. It aims to move the company, organization or environment from one state to a new state.
- According to John Kotter’s consultancy: Change management refers to a set of basic tools or structures intended to keep any change effort under control. The goal is often to minimize the distractions and impacts of the change.”
- Prosci’s: “The process, tools, and techniques to manage the people side of change to achieve a required business outcome.”
- ACMP (The Association of Change Management Professionals) defines: “The practice of applying a structured approach to transition an organization from a current state to a future state to achieve expected benefits.”

Prosci's 10 Aspects of Change Impact

What is a change agent?

- A change agent, or agent of change, is someone who promotes and enables change to happen within any group or organization.
- In business, a change agent is an individual who promotes and supports a new way of doing something within the company. This can be the use of a new process, the adoption of a new management structure or the transformation of an old business model to a new one.
- Change agents are critical to the entire change process. Change agents initiate, facilitate, implement and support organizational change from the beginning to the end. In order to be successful, the change agents need to possess a wide range of personality traits, skills and knowledge (Cawsey, Deszca & Ingols, 2012).
- Internal change agents
- External change agents

Types of organizational change

- Change management can be used to manage many types of organizational change. The three most common types are the following:
  - **Developmental change.** Any organizational change that improves on previously established processes and procedures.
  - **Transitional change.** Change that moves an organization away from its current state to a new state to solve a problem, such as implementing a merger and acquisition or automating a task or process.
  - **Transformational change.** Change that radically and fundamentally alters the culture and operation of an organization. In transformational change, the end result might not be known. For example, a company may pursue entirely different products or markets.

Popular models for managing change

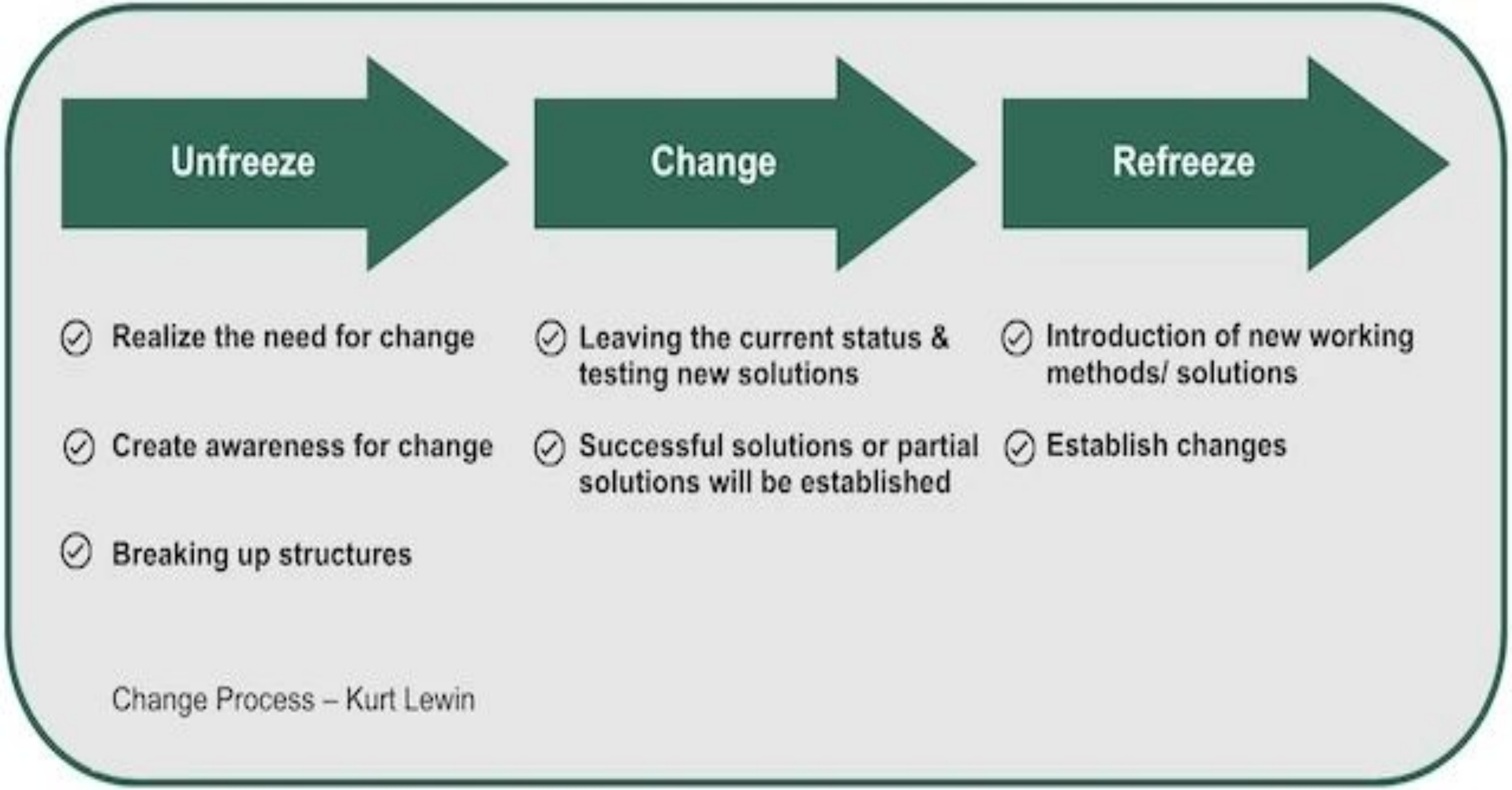
- **ADKAR.** The ADKAR model, created by Prosci founder Jeff Hiatt, consists of five sequential steps:
  - **A**wareness of the need for change;
  - **D**esire to participate and support the change;
  - **K**nowledge on how to change;
  - **A**bility to implement desired skills and behaviors; and
  - **R**einforcement to sustain the change.

Kotter’s Change Management Model

- Harvard University professor John Kotter's model has eight steps:
- **Establish a common understanding**
  - Problems should be recognized as such and acceptance of the necessary change should be created.
- **Gain allies for the change and create a leadership team**
  - Leadership and an understanding of the common goals are decisive factors for the successful implementation of a planned change. The change process itself requires a management team to support it. To this end, it should have competencies in the areas that are to be effected.
- **Strategy development**
  - Development of the communication strategy and recommendations for action based on the project managers input.
- **Communication of the goal**
  - Communicate the strategy throughout the organization to get employees’ buy-in to the changes. Clearly articulate any recommendations for action.

- **Removal of potential obstacles**
  - Identification and elimination of obstacles, such as knowledge gaps, staff shortages, or structural problems.
- **Communicate successes**
  - Successes and milestones achieved should be communicated during the implementation phase in order to maintain motivation.
- **Steadily driving the change process forward**
  - Do not be discouraged by setbacks. Encourage employees to continue taking risks and accepting possible setbacks. Do not lose sight of the objective despite interim successes.
- **Establishment of the achieved change in the corporate culture**
  - Anchor new processes permanently in the company. Use the successes achieved through the initial changes to motivate employees. Make the change clear, and thereby increase acceptance of the change.

Kurt Lewin – 3 Phase Change Management Model



- **Phase 1: Unfreeze**
  - Realizing the need for change. The status quo is questioned and awareness of the need for change is established in the company. Structures are broken down in order to be able to initiate the change process.
- **Phase 2: Change**
  - Leaving the current status to try out proposed solutions. Successful solutions or partial solutions are established.
- **Phase 3: Refreeze**
  - Introduction of the new ways of working or solutions to all affected areas of the company with the aim of permanent integration. The changes are to be established and adopted as usual in the company until the next change occurs.

Challenges of change management

- **Resource management**
  - Managing the physical, financial, human, informational, and intangible assets and resources that contribute to an organization's strategic plan becomes increasingly difficult when implementing change.
- **Resistance**
  - The executives and employees who are most affected by a change may resist it. Since change may result in unwanted extra work, ongoing resistance is common. Transparency, training, planning and patience can help quell resistance and improve overall morale.
- **Communication**
  - Companies often fail to consistently communicate change initiatives or include employees in the process. Change-related communication requires an adequate number of messages, the involvement of enough stakeholders to get the message out and multiple communication channels.

- **New technology**
  - The application of new technologies can disrupt an employee's entire workflow. Companies can improve adoption of new technology by creating a network of early learners who champion the new technology to colleagues.
- **Multiple points of view**
  - In any change initiative, success factors differ for people based on their roles in the organization and incentives. Managing these various priorities is challenging.
- **Scheduling issues**
  - Deciding whether a change program will be long or short term and clearly defining milestone deadlines are complicated. Some organizations believe that shorter change programs are most effective. Others believe a more gradual approach to change reduces resistance and errors.

Overcoming resistance to change

- In general, no one likes to change, even it is for the better in some way. Here are some best practices to help mitigate this resistance to change:
  - Clarify the goal of the change being made, and identify how it can benefit others.
  - Listen to objections, and find ways to address them.
  - Take the time to build consensus rather than bulldoze dissenters.
  - Consider feedback as a guide rather than an obstacle.
  - Celebrate success at the end to plant the seeds for further change.
  - Be willing to backtrack when the change does not meet desired goals.

Consequences of Poor Change Management

- **Project-level costs and risks of mismanaged change**
- **Costs:**
  - Project delays
  - Missed milestones
  - Budget overruns
  - Rework required on design
  - Loss of work by project team
- **Risks:**
  - Resistance
  - Project put on hold
  - Resources not made available
  - Obstacles appear unexpectedly
  - Project fails to deliver results
  - Project is fully abandoned

- **Organization-level costs and risks of mismanaged change**
- **Costs:**
  - Productivity plunges (deep and sustained)
  - Loss of valued employees
  - Reduced quality of work
- **Risks:**
  - Impact on customers
  - Impact on suppliers
  - Decline in morale
  - Legacy of failed change
  - Stress, confusion and fatigue
  - Change saturation

- **Costs and risks of failing to deliver results and outcomes**
- **Costs if the change is not fully implemented:**
  - Lost investment made in the project
  - Lost opportunity to have invested in other projects
- **Risks if the change is not fully implemented:**
  - Expenses not reduced
  - Efficiencies not gained
  - Revenue not increased
  - Market share not captured
  - Waste not reduced
  - Regulations not met

Change Management Strategies

- While there are many ways leaders can manage change, some of the best change management strategies include planning, transparency and honesty, communication, and employee participation. Key change management strategies, below.
  - Plan Carefully
  - Be as Transparent as Possible
  - Tell the Truth
  - Communicate
  - Create a Roadmap
  - Provide Training
  - Invite Participation
  - Don't Expect to Implement Change Overnight
  - Monitor and Measure
  - Demonstrate Strong Leadership